

## HSBC (0005.HK/HSBA.L): 2Q26 First Take: Modest beat on most fronts

**In short:** HSBC reported 2Q26 underlying PBT of US\$10.3bn, **1%/5% ahead of GSe/company-compiled consensus** on account of +1%/4% beat to GSe/cons in non-banking NII, and +1%/1% beat to GSe/cons in banking NII. ROTE ex-notables was 19.5%. Cost came inline +1%/0% vs GSe/Cons and impairment +5%/-1% vs GSe/Cons. The robust non-NII was driven by wealth management where fee income was up +21% yoy on stronger investment distribution, insurance fees and private bank fees. NNM came in at US\$25bn with Asia contributing to US\$22bn lower vs 1Q26's NNM of US\$39bn (Asia's US\$34bn) but above 2Q25's US\$25bn. CoC was back down at 41bps vs 1Q's 52bps; this included a US\$0.2bn related HK CRE provision. CET 1 CAR at 14.1% and HSBC declared an interim dividend of US\$0.10. Share buyback of US\$1bn was declared, below GSe of US\$1.5bn and at the low end of cons range of US\$1.0bn-2.0bn.

### 2026 guidance was largely unchanged:

- (+) Bank NII of at least US\$46bn for 2026 vs 1Q's guidance of around US\$46bn (cons of US\$46.5bn)
- (=) ECL charges remain at ~45bps (cons 45bps)
- (=) Cost at 1% growth on a target basis - this would see cost at \$34.2bn for 2026 (cons \$34.0bn). Additional note that should strong business performance continue, HSBC may consider additional performance related pay which would increase 2026 target basis cost growth modestly.
- (=) CET1 of 14-14.5%

**Our view:** Overall, results came in ahead of consensus and broadly in line with our expectations, with beats across most lines, which we view positively. That said, the relatively limited changes to guidance may be slightly underwhelming given the stock's strong recent performance and investor expectations for a more meaningful upgrade following the improved rates backdrop. Nevertheless, reading through management's commentary, we remain constructive. In particular, management indicated that costs could trend higher should revenue momentum remain stronger than expected, which we view as signalling confidence in the underlying revenue outlook and a willingness to invest for growth. All else equal, we would expect to see slight positive consensus earnings revisions following today's release, reflecting the improved Banking NII guidance. Together with a more favourable rate environment, resilient wealth momentum and continued capital returns, we remain positive on

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HSBC's earnings outlook and maintain our **Buy** rating (HSBA.L also on European CL).

### Key highlights:

- **Revenues (+):** Underlying revenues were 1%/2% ahead of GSe/consensus, driven by stronger non-banking NII which came in at US\$7.4bn, which beat by 1%/4%, and banking NII was US\$11.6bn, also 1%/1% ahead of GSe/Cons. Wealth management fee income was up +21% yoy on stronger investment distribution, private bank and insurance fees. NNM was decent at \$25bn with Asia contributing to US\$22bn below 1Q26's NNM of \$39bn and 2Q25's US\$22bn. **Within Banking NII**, it was up +4%/+8% qoq/yoy on constant ccy terms, and qoq increase was attributable to strong deposit and loan growth, higher day count and better structural hedge re-investment yields. Deposit growth was +3%qoq/+6%yoy. Management has revised up banking NII to at least US\$46bn (vs. previous of ~US\$46bn) noting improved rate outlook with cons coming in at US\$46.5bn.
- **Costs (=):** Opex came in broadly in line with GSe and consensus (+1%/0%). The increase reflected higher planned investment in technology and growth initiatives, inflationary pressures, and a US\$0.1bn adverse FX translation impact. These were partly offset by lower restructuring costs, savings from organisational simplification and lower performance-related pay accruals versus 2Q25. HSBC now expects organisational simplification savings of c.US\$2.0bn (previously US\$1.5bn), with an additional c.US\$0.5bn of P&L savings to be realised in FY27, while maintaining total restructuring charges of c.US\$1.8bn by end-FY26. For FY26, HSBC maintained its ~1% yoy cost growth guidance, although management noted that stronger business performance could result in a modest increase in variable compensation. Looking into FY27, management highlighted potential revenue opportunities and indicated it may accelerate growth initiatives, with the resulting cost growth partly offset by the benefits from organisational simplification.
- **Credit costs (-)** at US\$1.1bn was largely inline with consensus expectations (+5%/-1% vs GS/consensus), driven by Stage 3 charges including a US\$0.2bn related to the HK CRE sector (vs. US\$0.4bn of HK CRE related in 2Q25). Mgmt maintained its guidance for FY26 at 45bp. Total 1H26 CoC now stands at 47bps. GSe for CoC for 2026 is 42bps with cons at 45bps.
- **Capital (=):** CET 1 CAR came above GS expectations at 14.1% but below cons. CET1 increased qoq incorporating the organic capital generation offset by dividends and RWA growth. RWAs +3% qoq, were above consensus expectations with growth in RWA largely driven from CIB, HK and UK. HSBC notes that given the pick up in loan growth we should see RWA growth trend up in line as well.

**Exhibit 1: 2Q26 earnings review**

| \$mn                                | 2Q25    | 3Q25     | 4Q25    | 1Q26    | 2Q26    | 2Q26E   |         | Overview |        |        |          |
|-------------------------------------|---------|----------|---------|---------|---------|---------|---------|----------|--------|--------|----------|
|                                     |         |          |         |         |         | GSe     | Cons    | q/q      | y/y    | act/GS | act/cons |
| Statutory P&L                       |         |          |         |         |         |         |         |          |        |        |          |
| Revenue                             | 16,473  | 17,788   | 16,365  | 18,624  | 19,118  | 18,898  | 18,570  | 3%       | 16%    | 1%     | 3%       |
| Costs                               | (8,920) | (10,076) | (9,330) | (8,721) | (8,705) | (8,680) | (8,718) | (0%)     | (2%)   | 0%     | (0%)     |
| Pre-Provision Profit                | 7,553   | 7,712    | 7,035   | 9,903   | 10,413  | 10,218  | 9,852   | 5%       | 38%    | 2%     | 6%       |
| Impairments                         | (1,065) | (1,008)  | (901)   | (1,301) | (1,052) | (1,005) | (1,066) | (19%)    | (1%)   | 5%     | (1%)     |
| Operating profit                    | 6,488   | 6,704    | 6,134   | 8,602   | 9,361   | 9,213   | 8,786   | 9%       | 44%    | 2%     | 7%       |
| Associates                          | (162)   | 591      | 669     | 774     | 785     | 677     | 722     | 1%       | (585%) | 16%    | 9%       |
| PBT - Statutory                     | 6,326   | 7,295    | 6,803   | 9,376   | 10,146  | 9,890   | 9,508   | 8%       | 60%    | 3%     | 7%       |
| Tax Expense                         | (1,455) | (1,792)  | (1,615) | (1,982) | (2,219) | (2,241) | (2,012) | 12%      | 53%    | (1%)   | 10%      |
| Profit After Tax                    | 4,871   | 5,503    | 5,188   | 7,394   | 7,927   | 7,649   | 7,496   | 7%       | 63%    | 4%     | 6%       |
| Non-Controlling interests           | (138)   | (219)    | (243)   | (49)    | (13)    | (38)    | (28)    | (73%)    | (91%)  | (66%)  | (54%)    |
| Other                               | (155)   | (411)    | (225)   | (407)   | (226)   | (155)   | (186)   | (44%)    | 46%    | 46%    | 22%      |
| Net Income to Ordinary Shareholders | 4,578   | 4,873    | 4,720   | 6,938   | 7,688   | 7,456   | 7,282   | 11%      | 68%    | 3%     | 6%       |
| Underlying P&L                      |         |          |         |         |         |         |         |          |        |        |          |
| Banking NII                         | 10,714  | 11,049   | 11,722  | 11,253  | 11,643  | 11,541  | 11,527  | 3%       | 9%     | 1%     | 1%       |
| Non banking NII                     | 6,943   | 6,851    | 6,002   | 7,872   | 7,400   | 7,357   | 7,090   | (6%)     | 7%     | 1%     | 4%       |
| Revenue                             | 17,657  | 17,900   | 17,724  | 19,125  | 19,043  | 18,898  | 18,617  | (0%)     | 8%     | 1%     | 2%       |
| Costs                               | (8,268) | (8,374)  | (8,902) | (8,549) | (8,436) | (8,337) | (8,437) | (1%)     | 2%     | 1%     | (0%)     |
| Pre-Provision Profit                | 9,389   | 9,526    | 8,822   | 10,576  | 10,607  | 10,561  | 10,180  | 0%       | 13%    | 0%     | 4%       |
| Impairments                         | (1,065) | (1,008)  | (901)   | (1,301) | (1,052) | (1,005) | (1,066) | (19%)    | (1%)   | 5%     | (1%)     |
| Operating profit                    | 8,324   | 8,518    | 7,921   | 9,275   | 9,555   | 9,556   | 9,114   | 3%       | 15%    | (0%)   | 5%       |
| Associates                          | (162)   | 591      | 669     | 774     | 785     | 677     | 722     | 1%       | (585%) | 16%    | 9%       |
| PBT - Underlying                    | 8,162   | 9,109    | 8,590   | 10,049  | 10,340  | 10,233  | 9,836   | 3%       | 27%    | 1%     | 5%       |
| Key Ratios & Metrics                |         |          |         |         |         |         |         |          |        |        |          |
| RWAs                                | \$887bn | \$879bn  | \$889bn | \$884bn | \$906bn | \$903bn | \$894bn | 3%       | 2%     | 0%     | 1%       |
| CET1 ratio                          | 14.6%   | 14.5%    | 14.9%   | 14.0%   | 14.1%   | 14.0%   | 14.2%   | 0.1%     | (0.5%) | 12bp   | (10bp)   |
| Credit cost                         | 0.44%   | 0.41%    | 0.37%   | 0.52%   | 0.41%   | 0.40%   | 0.42%   | (12bp)   | (4bp)  | 1bp    | (1bp)    |
| Underlying ROTE                     | 17.8%   | 16.7%    | 16.0%   | 18.5%   | 19.5%   | 19.3%   | 18.6%   | 1.0%     | 1.7%   | 23bp   | 90bp     |
| EPS                                 | 0.26    | 0.28     | 0.27    | 0.40    | 0.45    | 0.43    | 0.42    | 12%      | 74%    | 4%     | 7%       |
| DPS                                 | 0.10    | 0.10     | 0.45    | 0.10    | 0.10    | 0.10    | 0.10    | -        | -      | -      | -        |
| TBVPS                               | 9.17    | 9.22     | 9.64    | 9.46    | 9.36    | 9.32    | 9.39    | (1%)     | 2%     | 0%     | (0%)     |

Source: Company data, Company-compiled consensus, Goldman Sachs Global Investment Research

**Price Target Risks and Methodology - HSBC Holdings (HSBA.L)**

Our 12-month price target of GBP1,725 is based on a P/E methodology, using a 12.0x target multiple applied 75%/25% to our 2027/28E EPS forecasts, vs an average target multiple of c. 10.5x for our European Banks coverage, reflecting in part various structural advantages held by HSBC, including its deposit-centric growth (capital-light income, with associated hedge benefits), across a range of supportive regions/products, alongside meaningful opportunities for non-NII growth via the Wealth segment. Downside risks include: 1) Weaker-than-expected Banking NII, including faster-than-expected Fed rate cuts, or a widening gap between HIBOR and Fed rate; 2) Slower-than-expected non-NII growth, including a potential slowdown in global trade or increased competition from peers; 3) Reversal/pause of positive operating efficiency trajectory if simplification efforts are impacted adversely.

**Price Target Risks and Methodology - HSBC Holdings (0005.HK)**

Our 12-month price target of HK\$181 is based on a two-stage DDM. Downside risks include: 1) Weaker-than-expected Banking NII, including faster-than-expected Fed rate

cuts, or a widening gap between HIBOR and Fed rates; 2) Slower-than-expected non-NII growth, including a potential slow down in global trade or increased competition from peers; 3) Reversal/pause of positive operating efficiency trajectory if simplification efforts are impacted adversely.

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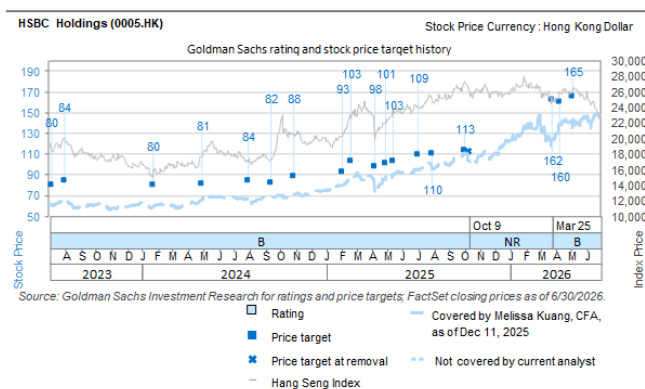
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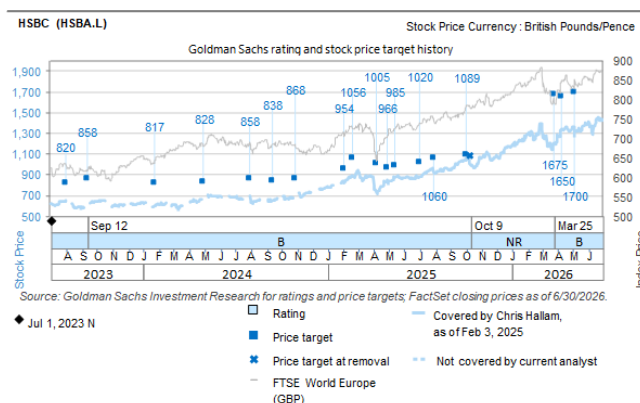
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## Target price history table(s)

### HSBC (HSBA.L)

| Date of report | Target price (£) | Closing price (£) |
|----------------|------------------|-------------------|
| 17-Jul-26      | 1,725            | 1,492.2           |
| 05-May-26      | 1,700            | 1,279.8           |
| 10-Apr-26      | 1,650            | 1,340.2           |
| 25-Mar-26      | 1,675            | 1,211.4           |
| 03-Oct-25      | 1,089            | 1,061.8           |
| 30-Jul-25      | 1,060            | 926               |
| 02-Jul-25      | 1,020            | 885.3             |
| 13-May-25      | 985              | 876.1             |
| 29-Apr-25      | 966              | 855.6             |
| 07-Apr-25      | 1,005            | 737.8             |
| 19-Feb-25      | 1,056            | 895.4             |
| 02-Feb-25      | 954              | 845.7             |
| 29-Oct-24      | 868              | 713.7             |
| 14-Sep-24      | 838              | 658.7             |
| 31-Jul-24      | 858              | 704               |
| 30-Apr-24      | 828              | 695.6             |
| 23-Jan-24      | 817              | 598.8             |
| 12-Sep-23      | 858              | 597.3             |

### HSBC Holdings (0005.HK)

| Date of report | Target price (HK\$) | Closing price (HK\$) |
|----------------|---------------------|----------------------|
| 17-Jul-26      | 181.00              | 156.90               |
| 05-May-26      | 165.00              | 136.00               |
| 10-Apr-26      | 160.00              | 139.70               |
| 25-Mar-26      | 162.00              | 125.00               |
| 03-Oct-25      | 113.00              | 109.90               |
| 30-Jul-25      | 110.00              | 96.95                |
| 02-Jul-25      | 109.00              | 95.25                |
| 13-May-25      | 103.00              | 89.65                |
| 29-Apr-25      | 101.00              | 88.35                |
| 07-Apr-25      | 98.00               | 73.40                |
| 19-Feb-25      | 103.00              | 88.40                |
| 02-Feb-25      | 93.00               | 79.95                |
| 29-Oct-24      | 88.00               | 71.60                |
| 14-Sep-24      | 82.00               | 67.30                |
| 31-Jul-24      | 84.00               | 69.95                |
| 30-Apr-24      | 81.00               | 67.00                |
| 23-Jan-24      | 80.00               | 59.20                |

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